

Employment: Basic Concepts

- **Definition:** The number or percentage of people who have jobs. It refers to activities enabling a person to earn a living.
- **Contribution:** Every working person contributes to national income and Gross Domestic Product (GDP).

Unemployment

- **Definition:** A situation where people are willing and able to work at existing wage rates but cannot find work. It implies the economy fails to create enough jobs.
- **Labour Force:** Total number of people eligible to work, including employed and unemployed.
 - Labour Force = Persons working + Persons seeking and/or available for work

Labour Force Participation Rate (LFPR)

- **Definition:** The section of the working population (16-64 years) currently employed or seeking employment.
- **Exclusions:** Students, housewives, and persons over 64 are generally not counted.
- **Trend (India):** Fell from 55.9% (2011-12) to 49.8% (2017-18).

Labour Supply

- **Definition:** The total hours workers wish to work at a given real wage rate.

Workforce

- **Definition:** The number of persons actually employed at a particular time, engaged in productive activities.
- Workforce = Labour Force – Number of persons not working but willing to work

Worker-Population Ratio

- **Definition:** The number of persons employed per 1000 persons.
- **India (2017-18) Data:**

Sex	Rural	Urban	Total
Men	51.7	53.0	52.1
Women	17.5	14.2	16.5
Total	35.0	33.9	34.7

Types of Employment

- **Self-Employment:**
 - Workers use their own resources (land, labour, capital, entrepreneurship) to make a living.
 - In India, 52.2% of the workforce is self-employed (2017-18).
 - Examples: Shopkeepers, traders, businessmen, doctors with own clinic.
- **Wage Employment (Hired Workers):**
 - Workers sell their labour and earn wages.
 - Workers do not own resources other than their labour.
 - Examples: Doctor employed by a hospital.
- **Regular Workers (Salaried Employees):**
 - Engaged on a regular basis, paid regular wages.
 - Account for 22.8% of India's workforce.
 - Receive social security benefits (pension, provident fund).
 - Examples: Professors, teachers, civil engineers in a company.
- **Casual Workers:**
 - Casually engaged, paid remuneration for work done. Not hired permanently.
 - Lack job security, regular income, and social benefits.
 - Account for 25% of India's workforce.

Jobless Growth

- **Definition:** A situation where GDP increases due to innovative technology without a corresponding increase in employment levels. Companies achieve targets through efficient technology, reducing manpower needs.

Trends in Employment (Sector-wise, India)

Changing structure from primary to secondary and tertiary sectors.

Sector	1972-73	1993-94	2011-12	2017-18
Primary	74.3	64	48.9	44.6
Secondary	10.9	16	24.3	24.4
Tertiary	14.8	20	26.8	31
Total	100	100	100	100

Casualization of Workforce

- **Definition:** Shift of self-employed and regular salaried employees to casual wage work due to lack of opportunities in the organized sector.
- Casual workers are paid daily or periodically.

Informalization of Workforce

- **Definition:** Continuous decline in the percentage of workforce in the formal sector and a simultaneous rise in the informal sector's workforce.
- **Formal (Organized) Sector:**
 - Government departments, public enterprises, private establishments hiring 10+ workers.

- Workers (formal workers) protected by labour laws, can form trade unions.
- Accounts for ~7% of total workforce in India.
- **Informal (Unorganized) Sector:**
 - Private enterprises hiring <10 workers, farming, self-employment ventures.
 - Workers (informal workers) lack regular income, government protection, job security, and social benefits.
 - Accounts for >90% of employment in India (e.g., small farms, household industries).

Types of Unemployment in India

Rural Unemployment

- **Open Unemployment:** Persons willing and able to work at prevailing wage rates but cannot find work. Visible and countable. (e.g., landless workers in agriculture).
- **Seasonal Unemployment:** Employment for only certain seasons (e.g., farmers in unirrigated areas unemployed for 3-8 months a year).
- **Disguised Unemployment:** More workers are engaged in a job than actually required, leading to zero marginal productivity of additional labour. (e.g., too many people on a small farm).

Urban Unemployment

- **Industrial Unemployment:** Illiterate persons willing and able to work in factories/industries but cannot find jobs (due to population rise, rural-urban migration).
- **Educated Unemployment:** Educated youth unable to find appropriate jobs matching their qualifications, as jobs haven't increased proportionally with skilled workers.
- **Technological Unemployment:** Occurs when technology upgrades, and existing workforce skills do not match new requirements, leading to job displacement.

Causes of Unemployment

1. **Slow Economic Growth:** Insufficient job creation to absorb the growing labour force.
2. **Population Explosion:** Rapid increase in job seekers outstripping available opportunities.
3. **Over-dependence on Technology:** Companies using more machinery instead of manpower, replacing labour demand.
4. **Underdeveloped Agriculture:** Lack of irrigation, credit, and farmer indebtedness hinders growth and employment in agriculture.
5. **Defective Educational System:** Fails to provide technical and vocational education, leading to a mismatch between skills and industry requirements.
6. **Joint Family System:** High tendency to survive on joint income, encouraging disguised unemployment.
7. **Less Savings and Investment:** Shortage of capital formation limits the establishment of new firms and job creation.

Remedial Measures for Unemployment

1. **Increase in Production:** Boost output in agriculture and industrial sectors, encourage small and cottage industries.
2. **More Importance to Employment Programmes:** Focus on employment generation in five-year plans (e.g., irrigation, roads, power projects).
3. **Change in Education System:** Emphasize practical training and vocational education.
4. **Expansion of Employment Exchanges:** Open more exchanges and disseminate information on job opportunities.
5. **More Assistance to Self-Employed:** Provide financial aid, raw materials, and technical training to self-employed individuals.
6. **Improvements in Infrastructure:** Develop health, education, irrigation, electricity, and roads to enable full capacity production and job creation.
7. **Promotion of Investment:** Accelerate capital formation, especially in employment-generating activities. Encourage foreign investment (e.g., Skill India, Make in India, Start-up India).